

Equity Momentum Swing Beast

Market Regimes

System Quality Number (SQN)

SQN is used to quantify the characteristics of market types based off of the last 100 days of trading

It is a backward looking indicator

SQN is NOT a signal generator, it describes the environment

More than why to get in, it also helps keep us out of the wrong trading environment

SQN Market Regimes

We categorize the different regimes

Each regime has unique characteristics

The Regimes don't mirror, IE Bull Quiet doesn't trade the same just in the opposite direction of Bear Quiet

Each regime characterizes the psychology of how stocks trade in that specific market regime

5 Different Market Regimes

Bull Volatile

Bull Quiet

Neutral

Bear Quiet

Bear Volatile

Which Regime Do We Use

We make new entries in Neutral or Bull Quiet market regime

(Blended Bull Quiet)

We look to exit in Bull Volatile market regime

Bull Quiet Characteristics

Overall upward trend for the long term

Dips get bought

Add to long term positions on weakness

The best sell setups in the world...fail in this regime

Add the SQN Indicator in TradingView

Go to tradingview.com/SQNChrisD

Here's the formula if you want to calculate it yourself in excel or another charting program

Advantage of Market Regimes

Specifically the Bull Quiet market regime = reaction to news will generally be bullish

Since we build this strategy specifically for the Bull Quiet market regime, we can stay focused only on stocks and sectors that are in that regime

Avoiding sectors/stocks that we don't have systematic edge in

Up Next

We look at sectors